

Target Marketing and Strategies

Conventional Marketing

Two Basic Approaches

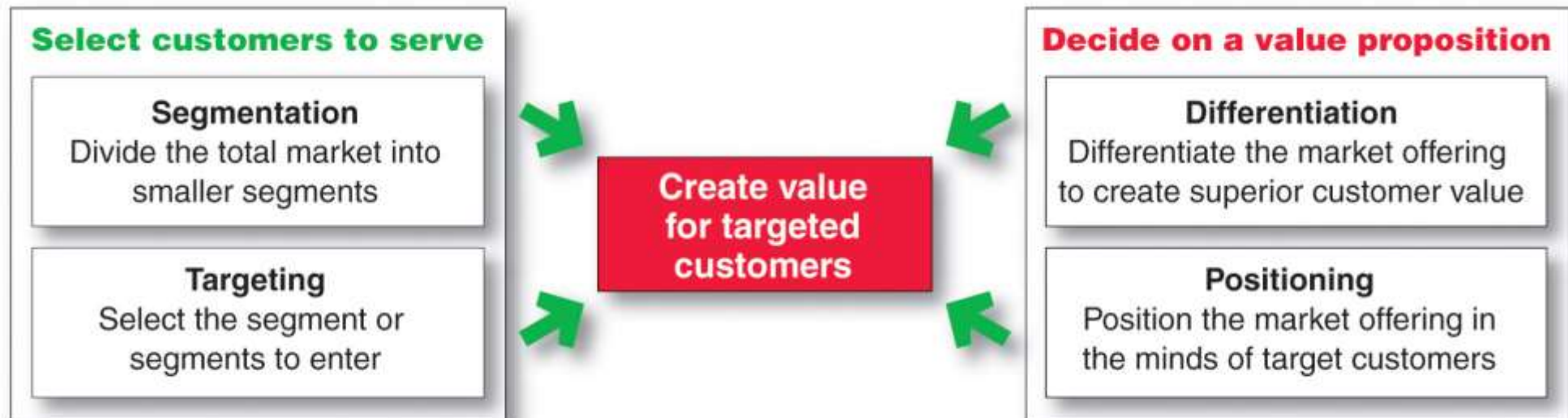
👍 Market Segmentation Approach

- The needs and preferences of the global market are viewed as heterogeneous varying from one group to another.

👍 Total/Mass Market Approach

- The needs and preferences of the entire, global market are regarded as relatively homogeneous.

Market Segmentation



Major Steps in Target Marketing

- ✓ Segmentation
- ✓ Target Marketing
- ✓ Market Positioning

Market Segmentation

Dividing a market into distinct groups with distinct needs, characteristics, or behavior who might require separate products or marketing mixes.

- 👍 Segmentation is breaking down heterogeneous mass market into more homogeneous submarkets
- 👍 Consumers within segments should respond similarly to particular marketing actions
- 👍 Consumer response should be different between segments

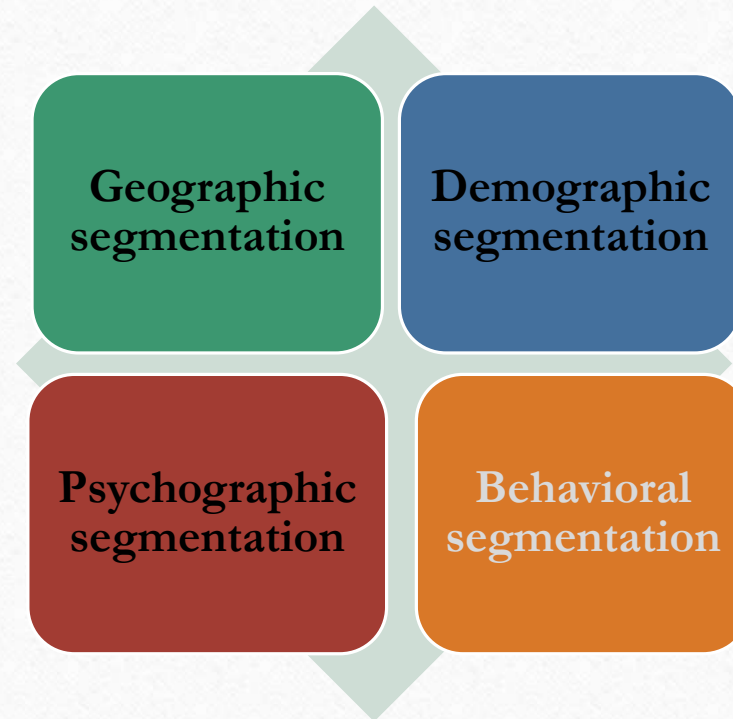
Target Marketing

The process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Market Positioning

Arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the mind of target consumers

Segmenting Consumer Markets



Geographical Segmentation

- Dividing a market into different geographical units such as nation, province, regions, countries, cities or neighborhoods

Geographic Segmentation Variables

- World Region or Country
- Region
- Province
- City
- Neighborhood
- City or Metro Size
- Density
- Climate

Demographic Segmentation

- Dividing the market into groups based on demographic variables such as age, gender, etc.

Demographic Segmentation Variables

- Age
- Gender
- Family size
- Family life cycle
- Income
- Occupation
- Education
- Religion
- Race
- Generation
- Nationality

Psychographic Segmentation

- Dividing a market into different groups based on social class, personality etc.

Psychographic Segmentation Variables

- Social class
- Lifestyle
- Personality

Behavioral Segmentation

- Dividing a market into groups based on consumer knowledge, attitude etc.

Behavioral Segmentation Variables

- Occasions
- Benefits
- User Status
- Attitude Toward the Product
- Usage Rate
- Loyalty Status
- Readiness Stage

Market Segmentation

Requirements for Effective Segmentation

- To be useful, market segments must be:

Measurable (size,
purchasing power, profiles of
segments can be measured)

Accessible (segments must
be effectively reached and served)

Substantial (segments
must be large or profitable
enough to serve)

Differentiable
(segments must respond differently
to different marketing mix elements
& actions)

Actionable (must be able
to attract and serve the segment)

Steps in the Target Marketing Process

- Evaluating Market Segments
- Selecting Target Market Segments

Evaluating Market Segments

Segment Size and Growth

- (Collect data and)Analyze sales, growth rates and expected profitability.

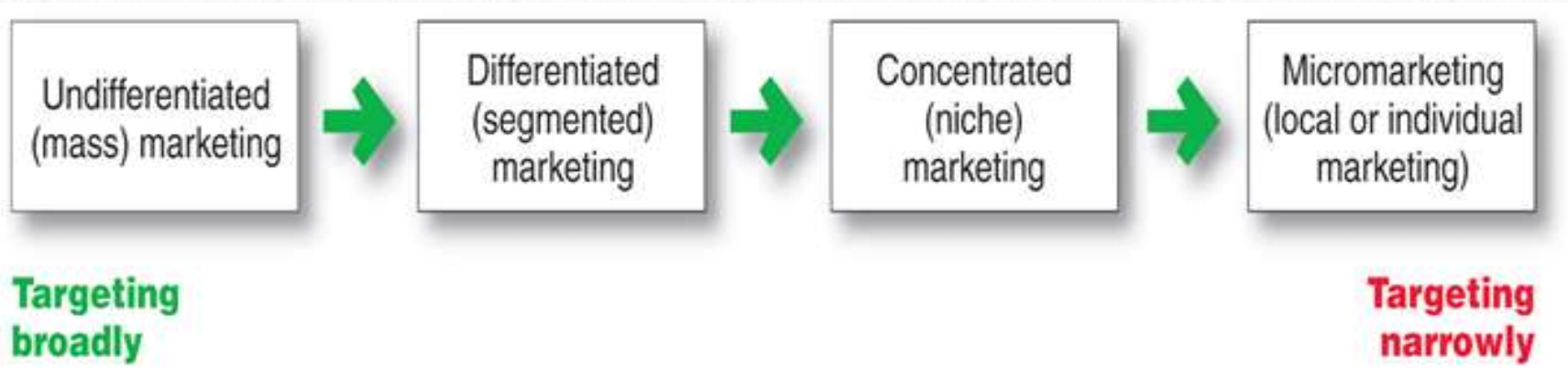
Segment Structural Attractiveness

- Consider effects of: Competitors, Availability of Substitute Products and, the Power of Buyers & Suppliers.

Company Objectives and Resources

- Company skills & resources relative to the segment (s).
- Look for Competitive Advantages.

Target Marketing Strategies

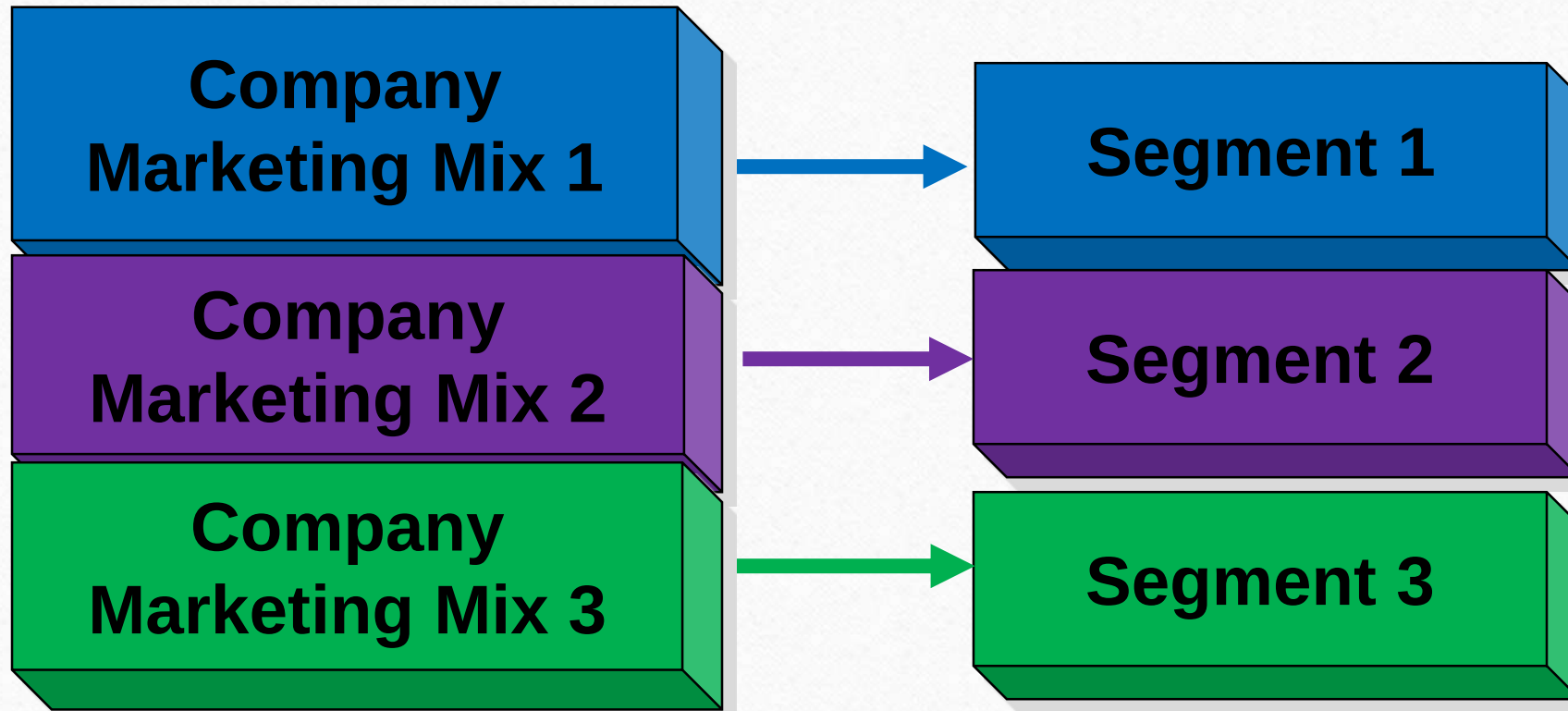


Market Coverage Strategies



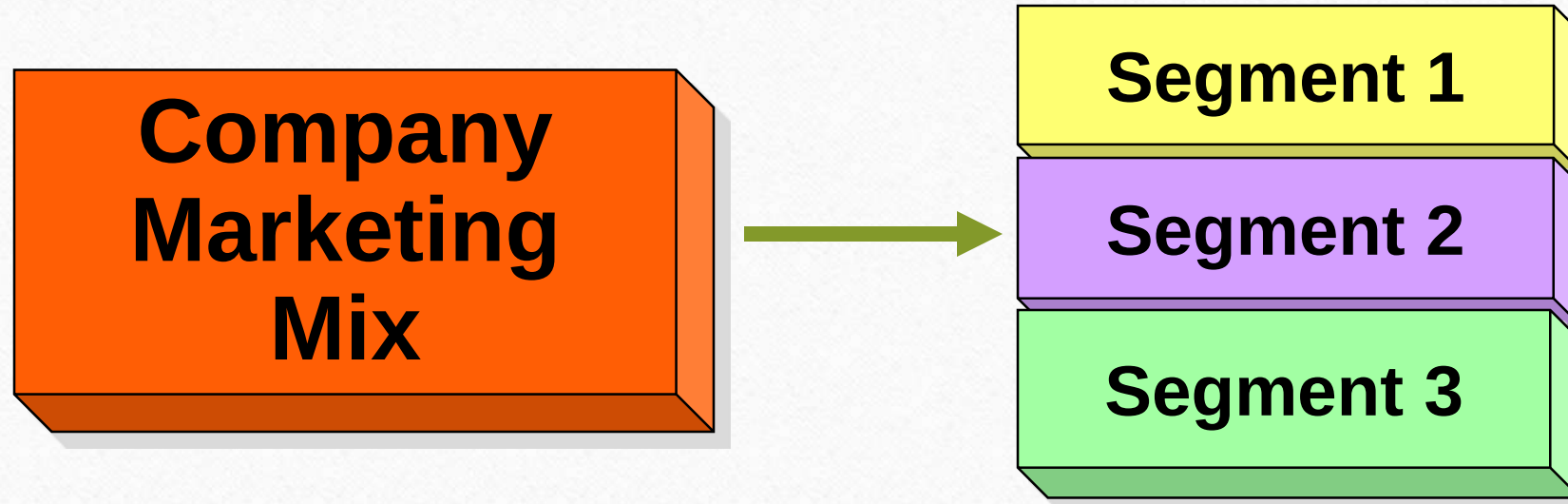
A. Undifferentiated Marketing

- ✓ **targets** the whole market with **one offer**.
- ✓ mass marketing
- ✓ **Focuses** on common needs rather than what's different.



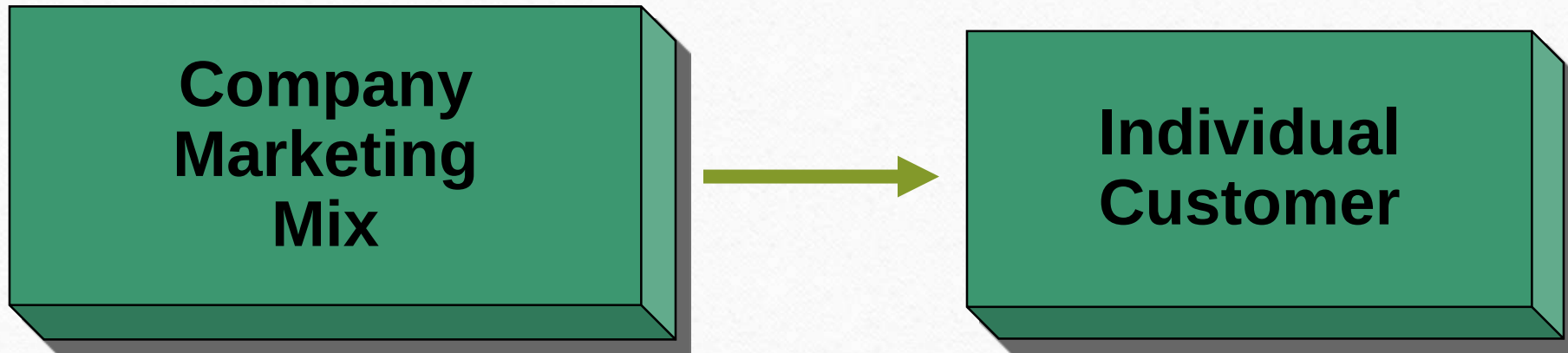
B. Differentiated Marketing

- ✓ targets several different market segments and designs separate offers for each.
- ✓ Goal is to achieve higher sales and stronger position.



C. Concentrated Marketing

- ✓ targets a large share of one or few smaller segments or niches
- ✓ Limited company resources
- ✓ Knowledge of the market
- ✓ More effective and efficient



D. Custom Marketing Strategy or Micromarketing Strategy

- ✓ the practice of **tailoring products and marketing programs** to **suit the tastes of specific individuals and locations**.
- ✓ **Local** marketing
- ✓ **Individual** marketing

Local marketing involves tailoring brands and promotion to the needs and wants of local customer groups

- Cities
- Neighborhoods
- Stores

Individual marketing involves tailoring products and marketing programs to the needs and preferences of individual customers

Also known as:

- ✓ One-to-one marketing
- ✓ Mass customization
- ✓ Markets-of-one marketing

Positioning for Competitive Advantage

- Product's Position - the place the product occupies in consumers' minds relative to competing products.
- Marketers must:
 - Plan positions to give products the greatest advantage
 - Develop marketing mixes to create planned positions

Differentiation and Positioning

Choosing the Right Competitive Advantage

Difference to promote should be:

Important

(difference delivers a highly valued benefit to target buyers)

Distinctive

(competitors do not offer the difference or the company can offer it in a more distinctive way)

Superior

(difference is superior to other ways that customers might obtain the same benefit)

Communicable

(difference is communicable and visible to buyers)

Preemptive

(competitors can not easily copy the difference)

Affordable

(buyers can afford to pay the difference)

Profitable

(the company can introduce the difference profitably)

Choosing and Implementing a Positioning Strategy

- Step 1. Identifying a set of possible competitive advantages: Competitive Differentiation.
- Step 2. Selecting the right competitive advantage.
- Step 3. Effectively communicating and delivering the chosen position to the market.

Differentiation and Positioning

Choosing a Differentiation and Positioning Strategy

Identifying a set of possible competitive advantages to build a position by providing superior value from:

Product differentiation

Service differentiation

Channel differentiation

People differentiation

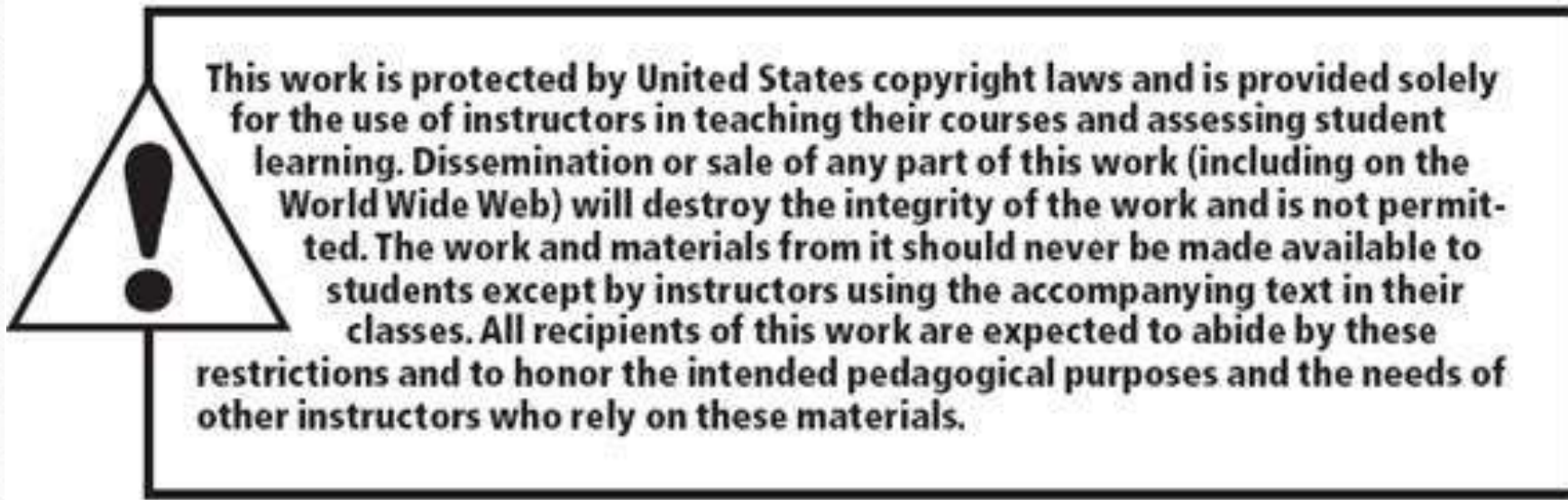
Image differentiation

Differentiation and Positioning

Selecting an Overall Positioning Strategy

Value proposition is the full positioning of a brand -the full mix of benefits upon which a brand is positioned

		Price		
		More	The same	Less
Benefits	More	More for more	More for the same	More for less
	The same			The same for less
	Less			Less for much less



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